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MEMORANDUM FOR THE PRESIDENT

The following notes contain a summary of the discussion at the 33rd meeting of the National Security Council.

1. UNITED STATES POLICY TOWARD CHINA
(NSC 34/1)

SECRETARY ACHESON remarked that the report was general and somewhat obscure in phraseology. In the Department of State he said there was general agreement that, from a strategic point of view, China was an area of lower priority, especially since the house appeared to be falling down and there was not much to be done until it had come down.

SECRETARY ACHESON said that China was unlike other countries where there were usually small nationalist minorities for the communists to take over. Historically, a nationalist government had been merely a facade in China, with a rough equilibrium maintained among feudal barons. It is only a fiction that China is called a nation today. Consequently, when the Government collapses now China would be back where it had been many times before. Before the communists could do anything they would have to create something.

SECRETARY ACHESON said our historic policy has been to prevent the domination of China by a hostile power. While this policy was open to attack on the grounds that it was not positive, Secretary Acheson felt that hasty positive action might commit us to an unpredictable course of action.

SECRETARY SNYDER said that apparently the proposed policy could not be any more definite than it is, in spite of the feeling of dissatisfaction with it. SECRETARY ACHESON agreed and added that strategic planning could not be undertaken until it was clear what would be left in China.

MR. HOFFMAN said that ECA needed more specific guidance for day-to-day operations. He felt it was better for ECA to be forced out of China by the communists than to leave voluntarily. If we were to stop ECA aid by our own decision this would afford the opportunity for communist propaganda to the effect that the only purpose for American aid had been to support the old Nationalist Government.

MR. HOFFMAN added that, from the course of events in Tientsin and Peking, it looked as though the communists were getting ready to throw out the ECA operations.

THE NATIONAL SECURITY COUNCIL:

Adopted NSC 34/1 without change.

NOTE: NSC 34/1 subsequently submitted to the President for consideration.

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2. THE CURRENT POSITION OF THE UNITED STATES WITH RESPECT TO FORMOSA (NSC 37/2 and NSC 37/1)

SECRETARY ACHESON read from several recent cables bearing on the subject, by Ambassador Stuart, General Barr, and Consul General Cabot. With reference to the telegrams and to the policy proposed in the report, he said that we may not succeed, through diplomatic and economic measures, in preventing the communist infiltration and domination of Formosa.

SECRETARY ACHESON also read from a recent telegram from the Consul General in Formosa, which reported an interview with Governor Chen. This message indicated the possibility of building up an autonomous movement among the Formosans.

MR. DRAPER read from a recent telegram from General Wedemeyer in Tokyo to General Bradley, which reported invitations for General Wedemeyer to visit Governor Chen and the Generalissimo. SECRETARY ACHESON noted that Secretary Royall had mentioned such invitations in another cable from Tokyo. Secretary Acheson said he had no considered judgment on the matter of General Wedemeyer visiting Formosa, but he felt it was bad to involve the Generalissimo in any way with Formosa.

SECRETARY ACHESON then referred to the views of the Joint Chiefs of Staff (NSC 37) in which the strategic importance was emphasized of denying Formosa to the communists. The present report suggested how that might be done, but there was no guarantee that the measures proposed would be any more than 60% effective, at best. Consequently, if the diplomatic and economic measures were not effective, then the question arose of the strategic significance of a Formosa in the hands of reds. If the Chinese air force or navy were to succumb to the communists and if a Formosan revolution did not succeed, Secretary Acheson felt we should face now the exact significance to our security of such an eventuality. He suggested that the Joint Chiefs of Staff should prepare a new appreciation of the strategic importance to us of Formosa, which would indicate whether we should, if necessary, use military forces to deny Formosa to the communists in the event that other measures are not successful.

MR. DRAPER asked what action we should take if the present Formosan Government invited the U. S. to establish bases there. Mr. Draper's feeling was that, if we had some military force in Formosa, by invitation of the government, our position would be better.

SECRETARY ACHESON said that our acceptance of such an offer would have to be based on an appraisal as to whether the Formosan Government was acting wisely and on the level in making such an offer. Secretary Acheson preferred to try to develop a spontaneous independent movement in Formosa which could then lead to an agreement in the UN for a new deal for Formosa. This way, he said, we could get international sanction for U. S. intervention.

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MR. HOFFMAN proposed the insertion of a new paragraph at the end of the report, which would confirm our present policy of continuing a vigorous program of aid to Formosa through the most flexible mechanisms possible.

SECRETARY ACHESON stated that the basic problem was not for us to obtain bases there but to deny the Island to others. The best means for such a denial was the establishment of a stable Formosan Government. Secretary Acheson supported Mr. Hoffman's proposal as better suited to this purpose than the idea of bases.

MR. BUTTERWORTH cautioned, with respect to the aid program, of the importance of timing in showing our hand.

MR. DRAPER inquired about the apparent inconsistency of the report, in that it proposed on the one hand to stir up a native revolution, and on the other hand to support a stable Chinese Government.

SECRETARY ACHESON felt that the proposals were not inconsistent, since we would have to get in touch with local autonomous groups in advance to be prepared in case the government did not turn out well. MR. LAY added that in the NSC Staff it had been made clear that these two courses of action had deliberately been proposed, in the event that either one should fail. MR. SOUERS remarked that the support of an autonomous movement would be a clandestine operation.

MR. HOFFMAN remarked that apparently Formosa was one of the potential powder kegs in the world, where we needed a strong mission with a top-flight representative whose judgment would be completely reliable. Mr. Hoffman said that, while the present aid program to Formosa was only a few millions, he hesitated to throw more money into such a fluid situation without the day-to-day advice of a strong man on the spot. SECRETARY ACHESON agreed, and in response to his query, MR. BUTTERWORTH reported that we had in Formosa only a consulate general outside of the ECA mission.

MR. DRAPER remarked on the importance of former Formosan trade with Japan and raised the question of restoring these economic ties.

SECRETARY ACHESON then proposed that the report, including Mr. Hoffman's new paragraph, be approved as being acceptable in so far as it goes, and that it be supplemented by another report based on a further estimate of the strategic implications by the Joint Chiefs of Staff and a report by the Department of State on more specific and immediate steps to be taken.

SECRETARY SYMINGTON and MR. DRAPER suggested that further action on the report be deferred until the further studies had been made, and raised again the question of bases.

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SECRETARY ACHESON said that the present report implies that our course of action should not include the establishment of bases, but he agreed that this question should not be decided by implication. He felt it would be more difficult for us to encourage a free government on Formosa if we had bases there than if we did not. The main question left unanswered, he said, was the estimate by the Joint Chiefs as to the use of military measures, if other means failed.

MR. BUTTERWORTH said it was desirable to get approval of the paper in order to authorize the appropriate agency to get in touch with Formosans. ADMIRAL HILLENKOETTER stated that we could have a revolution there in a week if we wanted it.

THE NATIONAL SECURITY COUNCIL:

a. Adopted the conclusions in paragraphs 12 and 13 of NSC 37/1 and a new paragraph proposed by the Economic Cooperation Administrator, for submission to the President as a current U. S. position with respect to Formosa.

b. Agreed that the Joint Chiefs of Staff should be requested to furnish the Council an estimate of the extent of the threat to U. S. security in the event that diplomatic and economic steps to deny communist domination of Formosa prove insufficient, and recommendation as to what, if any, military measures should be taken in that event.

c. Agreed that the Department of State should prepare a statement of specific and immediate steps which the U. S. should take with respect to Formosa.

d. Directed the NSC Staff to prepare a supplementary report on Formosa based on the discussion at the meeting and the reports referred to in b. and c. above.

NOTE: The conclusions adopted under a. above subsequently circulated as NSC 37/2 and submitted to the President for consideration. The actions in b. and c. above subsequently transmitted to the Secretary of Defense and the Secretary of State respectively for implementation.

3. THE CURRENT POSITION OF THE UNITED STATES RESPECTING DELIVERY OF AID TO CHINA
(NSC 22/3)

SECRETARY ACHESON reviewed the background of the military aid program, and reminded the Council that the question had come up in November when it had been decided to continue deliveries. From a military point of view, he felt that continued deliveries would only

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be a waste. From the political point of view, we would be criticized whether we continued or whether we stopped. There was no good solution, he said, and the Department of State was split down the middle. Some felt that the lesser evil was not to interfere with the program, while others felt that we could not avoid the responsibility for the ultimate disposition of the equipment. He noted Secretary Royall's recent telegram, which recommended stopping the deliveries.

MR. HOFFMAN said that, since it had been found wise to stop relief deliveries, it appeared five times more obvious that we should stop military deliveries. He felt that military aid could serve no useful purpose and questioned undue sensitiveness to outside opinion in the face of the facts of the situation.

MR. DRAPER agreed that deliveries should be stopped and diverted to more useful quarters.

MR. KENNEY reported that there were presently two DE's en route with Chinese crews and two more due to sail from Norfolk in March. The Chinese already possess title to these ships, and it was agreed their delivery should not be affected by any action in the aid program.

SECRETARY SYMINGTON suggested that current deliveries be routed to Okinawa and held there pending resolution of the fluid situation. SECRETARY FORRESTAL agreed that this could be done again, as it had been done once before.

SECRETARY ACHESON felt that was the only practical thing to do. He wondered what the effect of such a holding up of deliveries would have on negotiations between the Nationalist Government and the communists. MR. BUTTERWORTH felt that the Nationalist Government had greatly overestimated its bargaining capacity. SECRETARY ACHESON stated that, aside from indirect effects, this seemed to be the sensible thing to do for reasons of frugality and of possible danger. He suggested that the President call in Congressional leaders for their advice and explain the reasons for such a suspension.

MR. DRAPER suggested suspending also delivery of surplus property supplies on the same grounds.

THE NATIONAL SECURITY COUNCIL:

Agreed to recommend to the President that, inasmuch as further military aid to China, except for selective shipments, cannot be used effectively and there is the danger that it may fall into the hands of Chinese communists or other interests inimical to the United States, the President advise key members of

Congress that the President considers it to be in the interests of national security to suspend further shipments under the Military Aid Program for China, including suspension of further deliveries to China of undelivered surplus military property remaining from the bulk sales arrangement made in 1946, pending clarification and review of the situation, meanwhile permitting only such selective shipments as can be properly and effectively used.

NOTE: The above advice subsequently submitted to the President for consideration.